IB DP ECONOMICS

Complete Cheat Sheet

Full Syllabus | HL + SL | Score a 7

Microeconomics
Macroeconomics
International Econ
Development Econ
Market Failure
Trade & Exchange Rates
Fiscal Policy
Monetary Policy
Growth & Development
HL Extensions

20 Pages **All Diagrams** **Eval Tips** **HL Content** **Exam Strategy**

Designed for IB DP students aiming for top marks

How to Use This Cheat Sheet

Purpose

* Fast-revision reference covering the full IB DP Economics syllabus (SL + HL)
* Each section = one major topic with key diagrams, formulas, and evaluation
* HL content clearly labeled with [HL]
* Exam Insight boxes highlight what IB examiners commonly test

Reading Strategy

* First pass: Section headers + diagrams only (5 min per section)
* Second pass: Bullet content + evaluation tables
* Final review: Pages 18-20 -- Mistakes, Strategy, Checklist

Icon Legend

Icon	Meaning
[TIP] EXAM TIP	High-value strategy for exams
[!] MISTAKE	Common error students make
[EV] EVALUATION	Pros/cons, short vs long term
[HL] EXTENSION	Higher Level content only
[>] INSIGHT	Examiner perspective / pattern

Syllabus Roadmap

#	Section	Topics	Pages	Key Skill
1	Microeconomics	Scarcity, D&S;, Elasticity, Market Failure, Structures	3-7	Diagrams + Evaluation
2	Macroeconomics	GDP, Inflation, Unemployment, AD/AS, Fiscal/Monetary	8-11	Policy Analysis
3	International Economics	Trade, Protectionism, Exchange Rates, BoP	12-13	Comparative Advantage
4	Development Economics	Indicators, Poverty, Inequality, Strategies	14-15	Multi-indicator Analysis
5	HL Extensions	Elasticity HL, Market Structures HL, Policy HL	16-17	Advanced Evaluation
6	Exam Mastery	Mistakes, Strategy, Diagrams, Final Checklist	18-20	Exam Technique

[>] EXAM INSIGHT
IB Economics papers reward EVALUATION above all else. Always include short-run vs long-run effects, stakeholder impacts, and "it depends on..." qualifications.

1 MICROECONOMICS

Scarcity | PPC | Demand & Supply | Elasticity | Market Failure

Scarcity & Opportunity Cost

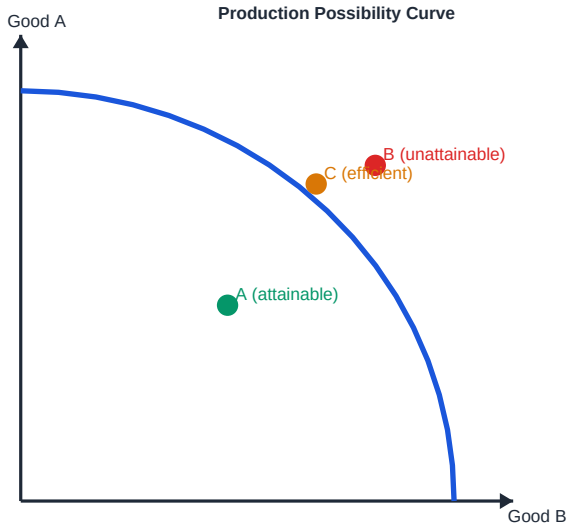
* Scarcity: unlimited wants, limited resources -> need for choice
* Opportunity cost: next best alternative forgone
* 4 Factors of production: Land, Labour, Capital, Enterprise

Production Possibility Curve (PPC)

* Shows maximum combinations of 2 goods an economy can produce
* Points ON the curve: productively efficient
* Points INSIDE: inefficient (underemployed resources)
* Points OUTSIDE: currently unattainable
* Outward shift = economic growth (more resources or better technology)
* Shape: concave (bowed out) = increasing opportunity cost

Economic Systems

* Free market: prices allocate resources; profit motive
* Command (planned): government allocates all resources
* Mixed: combination of market + government intervention



Production Possibility Curve

[TIP] EXAM TIP

PPC can shift outward due to: (1) more resources, (2) better technology, (3) education/skills. Always specify WHICH factor in exam answers.

Demand & Supply

Law of Demand

* As price rises, quantity demanded falls (inverse relationship)
* MOVEMENT along curve = change in price of THAT good
* SHIFT of curve = change in any other determinant

Determinants of Demand (PIRATES)

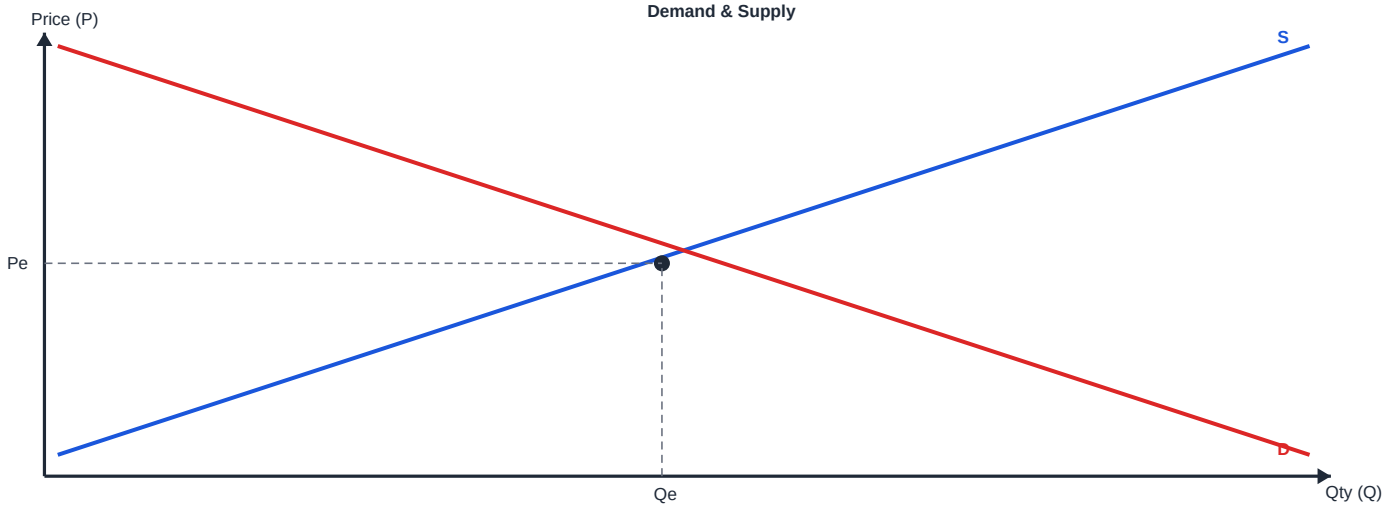
* Prices of related goods (substitutes/complements)
* Income of consumers
* Related goods prices
* Advertising & tastes
* Tastes & preferences
* Expectations of future prices
* Size of population

Law of Supply

* As price rises, quantity supplied rises (positive relationship)
* MOVEMENT along curve = change in price of THAT good
* SHIFT of curve = change in any other determinant

Determinants of Supply (CRPSTTT)

* Costs of production
* Related goods prices (in production)
* Prices of inputs (wages, raw materials)
* Subsidies & taxes
* Technology
* Taxes (indirect)
* Time (short run vs long run)



Market equilibrium: price where Qd = Qs

[!] COMMON MISTAKE

Shifts vs Movements: This is the single most common mistake in Paper 1 MCQ. A price change = MOVEMENT. Anything else = SHIFT. Say this out loud until it is automatic.

Elasticity

Type	Formula	Value	Meaning	Example
PED (Price Elasticity of Demand)	%dQd / %dP	|PED| > 1: elastic |PED| < 1: inelastic |PED| = 1: unit elastic	How responsive Qd is to a price change	Elastic: luxury goods Inelastic: petrol, cigarettes
PES (Price Elasticity of Supply)	%dQs / %dP	PES > 1: elastic PES < 1: inelastic	How responsive Qs is to a price change	Elastic: manufactured goods Inelastic: agricultural goods
YED (Income Elasticity)	%dQd / %dY	YED > 0: normal good YED < 0: inferior good YED > 1: luxury	How responsive Qd is to income change	Luxury: YED = +2.5 Inferior: bus travel
XED (Cross Elasticity)	%dQd(A) / %dP(B)	XED > 0: substitutes XED < 0: complements	How responsive Qd for A is to price of B	Substitutes: Coke/Pepsi Complements: cars/petrol

PED Determinants (SPLAT)

* Substitutes available: more subs = more elastic
* Proportion of income spent: higher proportion = more elastic
* Luxury vs Necessity: luxury = elastic; necessity = inelastic
* Addictive nature: addictive goods = inelastic
* Time period: longer run = more elastic

PED & Total Revenue

PED	Price Rise	Price Fall
Elastic (>1)	TR falls	TR rises
Inelastic (<1)	TR rises	TR falls
Unit elastic (=1)	TR unchanged	TR unchanged

PES Determinants

* Spare capacity: more spare = more elastic
* Stock levels: high stocks = more elastic
* Time period: longer = more elastic
* Factor mobility: easy to switch inputs = more elastic
* Perishability: perishable goods = inelastic supply

[>] EXAM INSIGHT

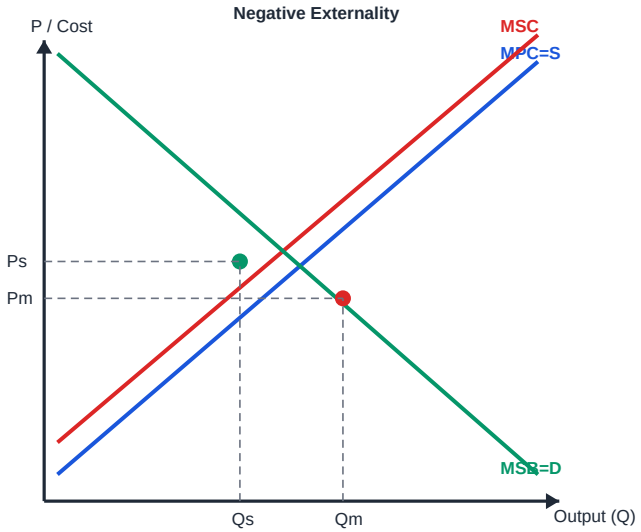
PED is ALWAYS negative (inverse relationship). Examiners expect absolute value retain their sign - the sign tells you the relationship type.

Elasticity & Tax Incidence

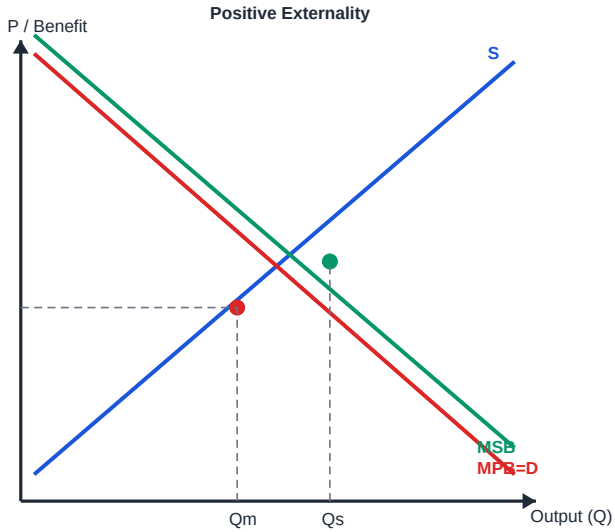
* Inelastic demand: consumer bears most of tax burden
* Elastic demand: producer bears most of tax burden
* Government prefers to tax inelastic goods for revenue

Market Failure

Type of Market Failure	Definition	Examples	Government Solution
Negative externality	Third parties bear costs not in private cost	Pollution, smoking, traffic	Tax, regulation, ban
Positive externality	Third parties receive benefits not in private benefit	Education, vaccination, R&D;	Subsidy, provision, vouchers
Public goods	Non-excludable + non-rival -> free-rider problem	Street lighting, defense, lighthouses	Government provision, taxation
Merit goods	Goods under-consumed if left to market (positive ext.)	Education, healthcare, parks	Subsidies, public provision, legislation
Demerit goods	Goods over-consumed if left to market (negative ext.)	Cigarettes, alcohol, gambling	Tax, advertising bans, age restrictions
Monopoly power	Single seller -> restricts output, raises price	Utilities, tech giants	Regulation, price caps, antitrust law
Information failure	Asymmetric info -> market decisions are suboptimal	Used car market, insurance	Regulations, labeling, information campaigns



Negative externality: overproduction at Qm vs Qs



Positive externality: underproduction at Qm vs Qs

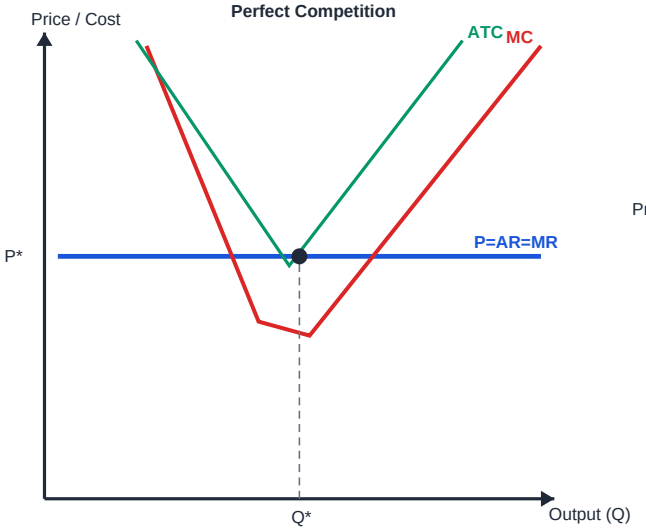
Government Intervention Methods

Method	How It Works	Advantage	Disadvantage
Indirect tax	Added to cost of production, shifts S left	Raises revenue; reduces consumption	Regressive; may not change behavior much
Subsidy	Payment to producers; shifts S right	Increases consumption; lowers price	Costly; may create dependency
Price ceiling	Max price set below equilibrium	Helps consumers afford good	Shortage; black markets; reduce quality
Price floor	Min price set above equilibrium	Protects producer incomes (e.g. min wage)	Surplus; government must buy excess
Regulation	Rules on behavior/output/standards	Direct; can be very effective	Costly to enforce; may be ignored
Tradeable permits	Firms buy right to pollute; market for permits	Efficient; gives firms flexibility	Hard to set correct total cap

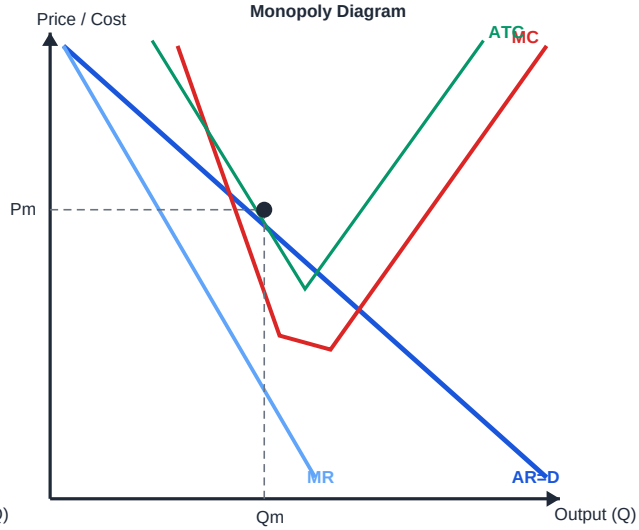
[EV] EVALUATION
When evaluating ANY government policy, always ask: (1) Effectiveness - does it actually solve the market failure? (2) Equity - who bears the burden? (3) Unintended consequences? (4) Short vs long-term effects?

Market Structures

Characteristic	Perfect Competition	Monopolistic Competition	Oligopoly	Monopoly
Number of firms	Many (infinite)	Many	Few (3-5 dominant)	One
Barriers to entry	None	Low	High	Very high
Product	Identical (homogeneous)	Differentiated	Differentiated or homogeneous	Unique; no close substitutes
Price control	Price taker	Some (limited)	Significant (interdependence)	Price maker
Profit (LR)	Normal profit only	Normal profit only	Abnormal profit possible	Abnormal profit (if no regulation)
Examples	Agricultural markets	Restaurants, clothing	Airlines, mobile phones	Water utilities, patented drugs
Efficiency	Allocatively + productively efficient (LR)	Neither (LR)	Neither (typically)	Neither (deadweight loss)



Perfect competition: P=MC=minimum ATC in long run



Monopoly: Pm > MC -> deadweight loss -> allocative inefficiency

Oligopoly: Key Features [HL]

* Interdependence: each firm considers rivals' reactions
* Collusion: firms may secretly agree on prices/output (cartel = illegal)
* Price rigidity: Kinked demand curve model explains stable prices
* Non-price competition: advertising, branding, loyalty schemes
* Game theory: payoff matrices, Nash equilibrium, prisoner's dilemma [HL]

[HL] HL EXTENSION

Kinked demand curve [HL]: demand is elastic above current price (rivals do NOT f
inelastic below current price (rivals DO follow price cuts). This creates price stabilit

Advantages / Benefits	Disadvantages / Costs
(+) Competition: drives innovation, lower prices	(-) Monopoly creates deadweight welfare loss
(+) Economies of scale possible in large firms	(-) Higher prices, lower output than competitive markets
(+) R&D; investment in monopolistic/oligopoly firms	(-) Collusion harms consumers
(+) Consumer choice in monopolistic competition	(-) Advertising is socially wasteful (monopolistic comp.)

2 MACROECONOMICS

GDP | Inflation | Unemployment | AD/AS | Policy

Key Macroeconomic Indicators

Indicator	Definition	Measurement Method	Limitations
GDP (Gross Domestic Product)	Total value of goods/services produced in a country in one year	3 methods: Expenditure (C+I+G+NX), Income, Output	Ignores inequality; excludes informal economy; does not measure wellbeing
GNP / GNI	GDP + net income from abroad (residents)	GDP + income received from abroad - income sent abroad	May differ significantly from GDP in remittance economies
Real vs Nominal GDP	Real GDP adjusted for inflation; nominal is at current prices	Real = Nominal / Price index x 100	Choice of base year affects comparisons
GDP per capita	GDP divided by population	GDP / total population	Ignores distribution; purchasing power varies across countries

Inflation

* Definition: sustained rise in the general price level over time
* Measured by: CPI (Consumer Price Index) or RPI
* Types: Demand-pull (AD rises), Cost-push (AS falls), Built-in/Wage-price spiral
* Hyperinflation: >50% per month (e.g. Zimbabwe 2008)
* Deflation: falling price level -> postponed spending -> recession risk
* Target: most central banks target 2% inflation

Effects of Inflation

* Erodes purchasing power of fixed-income earners
* Uncertainty: discourages investment
* Menu costs: firms must constantly update prices
* Shoe leather costs: time spent managing cash
* Benefits debtors (real value of debt falls); harms creditors
* Reduces international competitiveness if inflation > trading partners

Unemployment

* Definition: people willing + able to work but cannot find a job
* Rate = (Unemployed / Labour force) x 100%
* Types:
  * Frictional: between jobs (short-term, normal)
  * Structural: mismatch of skills (e.g. automation)
  * Cyclical/Demand-deficient: recession reduces AD
  * Seasonal: predictable fluctuations (tourism, agriculture)
  * Voluntary: choosing not to work at going wage
* Natural rate of unemployment (NAIRU): frictional + structural
* Full employment does NOT mean zero unemployment

[>] EXAM INSIGHT

Always distinguish between types of unemployment because each requires a DIFF

Structural unemployment cannot be solved by expansionary fiscal policy alone.

Aggregate Demand & Supply (AD/AS Model)

Aggregate Demand (AD)

AD = C + I + G + (X - M)

C=consumption | I=investment | G=gov spending | X-M=net exports

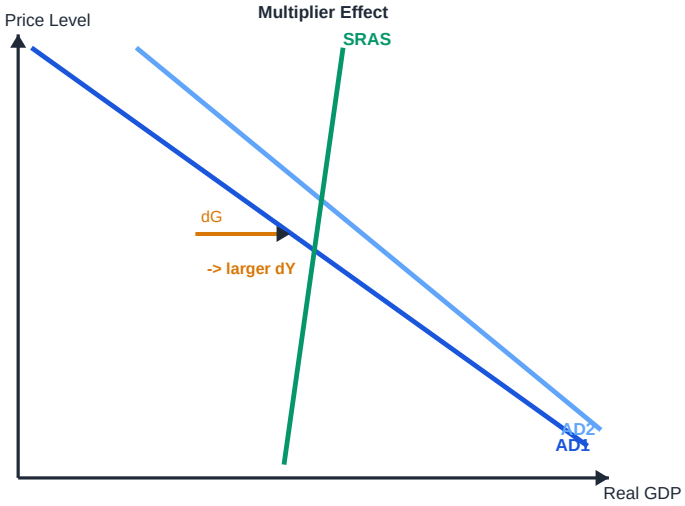
* Shifts RIGHT (increase in AD) due to:
  * Lower interest rates -> more consumer borrowing/spending
  * Tax cuts -> higher disposable income
  * Government spending increase
  * Higher consumer/business confidence
  * Currency depreciation -> cheaper exports
  * Trading partner growth -> higher export demand

Multiplier Effect

Multiplier (k) = 1 / (1 - MPC) or 1 / MPS

MPC = marginal propensity to consume | MPS = marginal propensity to save

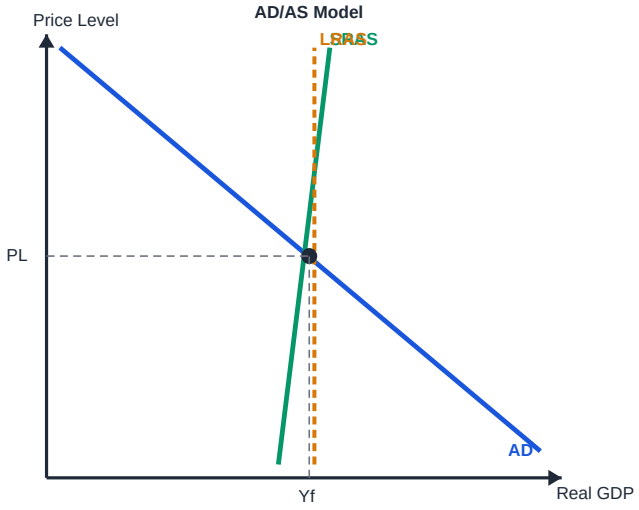
* An initial injection creates a chain of spending
* Final change in GDP = k x initial injection
* Size of multiplier depends on MPC (leakages reduce it)



Multiplier shifts AD further than initial injection dG

Aggregate Supply (AS)

* Short-Run AS (SRAS): positive slope; wage/price stickiness
* Long-Run AS (LRAS): vertical at full-employment output (Yf)
* SRAS shifts LEFT (decreases) due to:
  * Higher input costs (wages, oil)
  * Supply-side shocks (natural disasters)
  * Higher indirect taxes
* LRAS shifts RIGHT (long-run growth) due to:
  * Improved technology
  * More/better quality resources
  * Education and training improvements



AD/AS: equilibrium where AD meets SRAS

[>] EXAM INSIGHT

Recessionary gap: actual output < full employment (Y < Yf). Inflationary

Identify which gap exists before prescribing policy.

Fiscal & Monetary Policy

Fiscal Policy

* Definition: government use of taxation and spending to influence the economy
* Expansionary: increase G or cut taxes -> shifts AD right
* Contractionary: cut G or raise taxes -> shifts AD left

Type	Tool	Effect on AD
Expansionary	Raise G; cut taxes	Shifts AD right -> more GDP + jobs
Contractionary	Cut G; raise taxes	Shifts AD left -> reduces inflation

Fiscal Policy Evaluation

Advantages / Benefits
(+) Direct impact on AD
(+) Targeted spending (infrastructure, jobs)
(+) Can address structural unemployment
(+) Multiplier effect amplifies impact

[TIP] EXAM TIP
Automatic stabilizers (e.g. unemployment benefits, progressive taxes) act without government action — they automatically stabilize AD during downturns. Always mention thes

Monetary Policy

* Definition: central bank control of money supply and interest rates
* Expansionary ("loose"): lower interest rates -> more borrowing/spending
* Contractionary ("tight"): raise interest rates -> less borrowing
* Quantitative Easing (QE): central bank buys bonds to inject money [HL]

Interest Rate Transmission Mechanism

* Lower rates -> cheaper mortgages/loans -> more consumer spending
* Lower rates -> cheaper business borrowing -> more investment
* Lower rates -> currency depreciation -> exports more competitive
* Lower rates -> wealth effect (asset prices rise)

Advantages / Benefits	Disadvantages / Costs
(+) Quick to implement (central bank decision)	(-) Liquidity t
(+) Politically independent (no election pressures)	(-) Does not
(+) Effective against demand-pull inflation	(-) Does not
	(-) Time lags

(-) Crowding out: gov borrowing raises interest rates
(-) Risk of deficit/debt accumulation
(-) May not solve supply-side problems

[HL] HL EXTENSION
At the "zero lower bound" (interest rates near 0%), traditional monetary policy bec
This is when unconventional tools like QE are used. Highly relevant post-2008 and

Economic Growth

Causes of Economic Growth

* Short-run growth: increase in AD (C, I, G, X-M)
* Long-run (sustainable) growth: increase in productive capacity (LRAS shifts right)

Supply-side Policies (Long-run Growth)

Policy	Mechanism
Education & training	Improves human capital -> higher productivity
Infrastructure investment	Lowers costs; improves efficiency
Tax incentives for R&D;	Encourages innovation -> technological progress
Deregulation	Reduces barriers; increases competition
Lower income tax	Increases labour supply incentive
Trade liberalization	Access to larger markets; specialization gains

Business Cycle

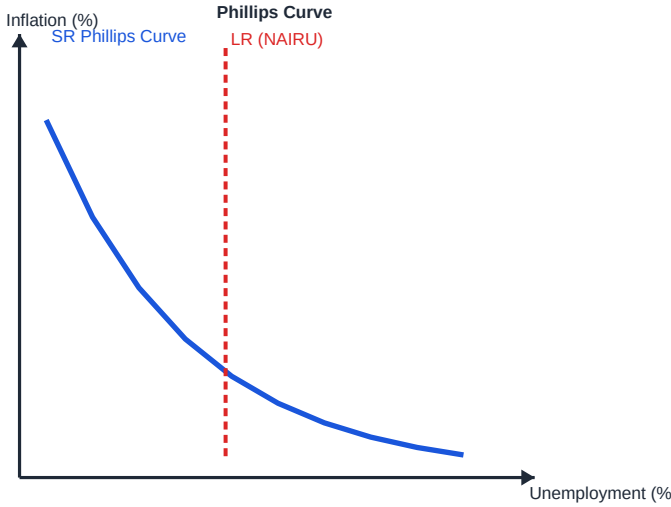
* Boom: output > trend; high employment; inflationary pressures
* Recession: 2 consecutive quarters of negative GDP growth
* Trough/Slump: output at lowest; high unemployment
* Recovery: output rising; unemployment falling

Consequences of Economic Growth

Advantages / Benefits	
(+) Higher living standards (if distributed equitably)	(-
(+) More employment opportunities	(-
(+) Higher tax revenue -> better public services	(-
(+) Increased investment attracts more growth	(-

Phillips Curve [HL]

* Short-run: inverse relationship between inflation and unemployment
* Low unemployment -> higher wage demands -> inflation
* Long-run Phillips curve: vertical at NAIRU
* Stagflation (1970s) discredited the short-run tradeoff



Short-run Phillips Curve (SR tradeoff)

[EV] EVALUATION
When evaluating growth, always consider SUSTAINABILITY and EQUITY. Economic growth that increases inequality or degrades the environment may reduce overall wellbeing even if GDP rises.

3

INTERNATIONAL ECONOMICS

Trade | Protectionism | Exchange Rates | Balance of Payments

Comparative Advantage & Free Trade

Absolute vs Comparative Advantage

* Absolute advantage: produce a good using fewer resources than another country
* Comparative advantage: produce a good at a lower OPPORTUNITY COST
* Countries gain from trade even if one has absolute advantage in ALL goods
* Basis of trade: each country specializes in good with lower OC

Terms of Trade

(Index of export prices / Index of import prices

Improvement: ToT rises (exports buy more imports)

Protectionism: Types & Effects

Tool	Mechanism	Effect
Tariff (import tax)	Tax on imports raises price	Raises revenue; reduces imports; consumer pays more
Import quota	Physical limit on import quantity	Guarantees domestic production; no revenue
Subsidy to domestic firms	Lowers domestic costs	Domestic firms more c government
Administrative barriers	Red tape, standards, regulations	Disguised protectionisr at WTO
Voluntary Export Restraint	Exporting country limits exports voluntarily	Avoids tariff retaliation; some profit

Justifications for Protectionism

* Infant industry argument: protect new industries until competitive
* Strategic trade policy: protect industries vital to national security
* Protect domestic jobs: prevent structural unemployment from cheap imports
* Prevent dumping: stop foreign firms selling below cost price
* Diversification: avoid over-dependence on one export
* Environmental standards: prevent "race to the bottom"

Advantages / Benefits
(+) Free trade: lower prices for consumers
(+) Specialization increases global efficiency
(+) Economic growth via export expansion
(+) Technology transfer and knowledge sharing

[>] EXAM INSIGHT

The infant industry argument is the most commonly tested justification counter-evaluate: infants may NEVER grow up; government may pick retaliate.

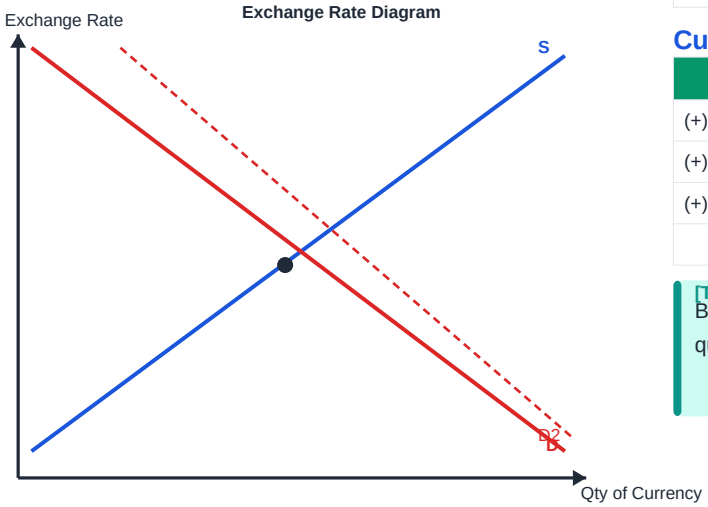
Exchange Rates & Balance of Payments

Exchange Rates

* Definition: price of one currency in terms of another
* Appreciation: currency buys MORE of foreign currency
* Depreciation: currency buys LESS of foreign currency

Floating Exchange Rate System

* Set by market forces (demand and supply of currency)
* Demand for USD rises -> USD appreciates
* Causes of appreciation: higher interest rates, strong economy, higher exports
* Causes of depreciation: lower interest rates, high inflation, trade deficit



Exchange rate: D2 shifts right -> currency appreciates

Marshall-Lerner Condition [HL]

* [HL] Depreciation improves Current Account IF:
  * PED(exports) + PED(imports) > 1
  * J-curve effect: CA worsens initially before improving (contracts take time)

Balance of Payments (BoP)

* Record of all financial transactions between a country and the rest of world

Account	Includes	Deficit Means
Current Account	Trade in goods, trade in services, income, transfers	Imports > Exports (net debtor)
Capital Account	Capital transfers, non-produced assets	Usually small
Financial Account	FDI, portfolio investment, reserve changes	Net capital outflows

Current Account Deficit: Evaluation

Advantages / Benefits	
(+) May reflect strong domestic demand (economy growing)	(-)
(+) Can be financed by capital account surplus	(-)
(+) Imports may include productive capital goods	(-)
	(-)

[TIP] EXAM TIP
BoP always sums to zero: Current Account deficit is offset by Financial/Ca
question is whether the deficit is sustainable.

4 DEVELOPMENT ECONOMICS

Indicators | Poverty | Inequality | Strategies

Development Indicators

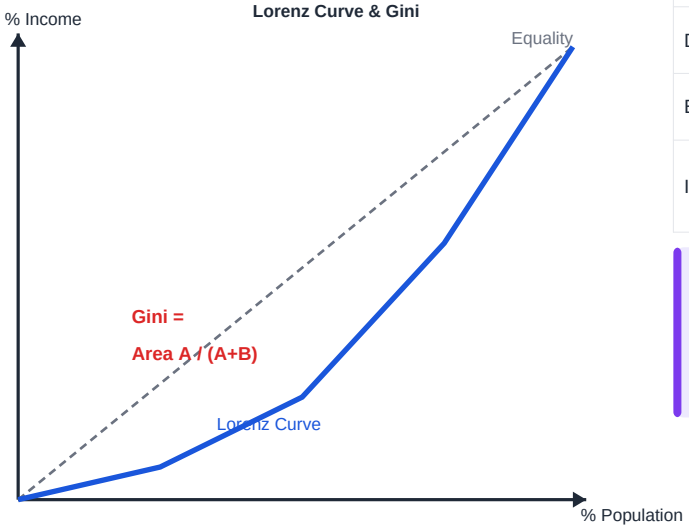
Indicator	What It Measures	Strengths	Limitations
GDP per capita	Average income	Simple; widely available	Ignores distribution; no wellbeing
HDI (Human Development Index)	Life expectancy + Education + GNI per capita	Multi-dimensional; better than GDP alone	Still misses inequality, political freedom
Gini Coefficient	Income inequality (0=perfect equality, 1=max inequality)	Quantifies inequality	Does not show absolute poverty
Poverty headcount ratio	% living below poverty line	Simple measure of extreme poverty	Ignores depth of poverty
Happy Planet Index	Wellbeing + life expectancy + ecological footprint	Includes sustainability	Subjective wellbeing data unreliable
Gender Inequality Index (GII)	Reproductive health, empowerment, labour force	Captures gender dimension of development	Data quality varies across countries

Poverty & Inequality

* Absolute poverty: income below minimum to meet basic needs
* Relative poverty: income below 60% of median national income
* World Bank absolute poverty line: <$2.15/day (PPP)

Causes of Poverty (in LEDCs)

* Vicious cycle of poverty: low income -> low savings -> low investment -> low productivity -> low income
* Lack of human capital: poor education, healthcare
* Institutional failures: corruption, poor governance
* Geographic factors: landlocked, natural disasters
* Historical: colonialism, unfair trade rules
* Debt burden: interest payments crowd out development spending



Lorenz Curve: greater bend = more inequality

Strategies for Development

Strategy	Examples	Key Evaluation
Aid (bilateral/multilateral)	Official Development Assistance (ODA)	Tied aid conditions; dependency risk; corruption
FDI attraction	Tax incentives, SEZs, infrastructure	Technology transfer; but profit repatriation
Trade liberalization	Joining WTO, regional trade agreements	Gains from specialization; but infant industry risk
Microfinance	Small loans to entrepreneurs (Grameen Bank)	Empowers women; but high interest rates
Debt relief (HIPC)	Cancellation of unsustainable debt	Frees fiscal space; but moral hazard
Education & healthcare	Public investment in human capital	Long-term payoff; expensive short term
Institutional reform	Rule of law, property rights, reduce corruption	Critical for sustainable growth; slow to implement

[>] EXAM INSIGHT
In development questions, ALWAYS reference specific countries or case s institutions; Zimbabwe - hyperinflation; South Korea - export-led growth). I marks.

Advantages / Benefits	Disadvantages / Costs
(+) Sustainable Development Goals (SDGs) provide clear framework	(-) Foreign aid can create dependency, not development
(+) Conditional cash transfers (e.g. Brazil's Bolsa Familia) highly effective	(-) Growth does not automatically reduce inequality
(+) Democracy and property rights correlate with growth	(-) Trade liberalization benefits richer nations more
(+) Technology leapfrogging (mobile banking in Africa)	(-) Debt still unsustainable in many sub-Saharan nations

5

HL EXTENSIONS

Advanced Market Structures | Complex Policies | Global Economics

[HL] Advanced Market Structures

[HL] Price Discrimination

* Charging different prices to different consumers for same good
* Conditions: market power + ability to segment market + no resale
* 1st degree: charge each consumer max willingness to pay (perfect)
* 2nd degree: price varies by quantity purchased (bulk discounts)
* 3rd degree: segment markets (student/senior discounts, international pricing)

[HL] HL EXTENSION

Price discrimination INCREASES producer surplus; effects on consumer surplus and welfare depend on degree. 3rd degree PD: some consumers may gain (lower price), others lose.

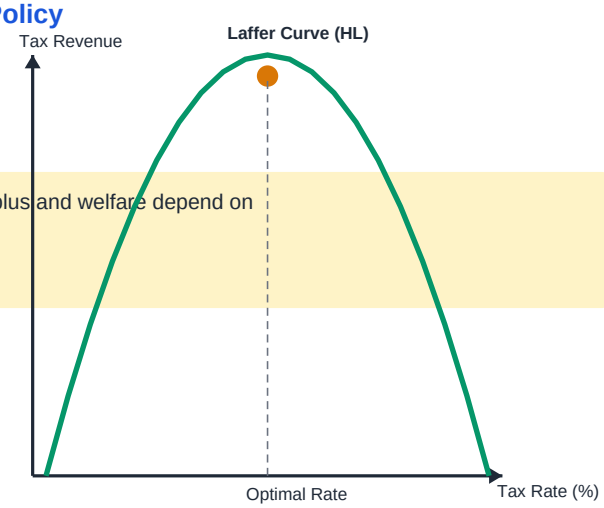
[HL] Game Theory & Oligopoly

* Payoff matrix: shows outcomes for two firms based on strategy choices
* Nash Equilibrium: no player can improve outcome by changing strategy unilaterally
* Prisoner's Dilemma: both firms compete -> both worse off than if they colluded
* Dominant strategy: best regardless of what rival does

Firm B: Compete	Firm B: Collude
Firm A: Compete | Both: $30m each	Firm A: Compete | A gets $50m, B gets $10m
Firm A: Collude | A gets $10m, B gets $50m	Both Collude: Both get $45m each

* Nash equilibrium: both compete ($30m, $30m) - but both better off if colluding ($45m, $45m)
* Explains why cartels are unstable (incentive to cheat)

[HL] Laffer Curve & Supply-Side Policy



Laffer Curve: beyond optimal rate, higher taxes reduce revenue

* Beyond optimal tax rate, revenue falls as incentives to work/invest decline
* Used to argue for tax cuts: "pay for themselves" through growth
* Empirical evidence mixed: depends on starting rate and other conditions

[HL] Terms of Trade & Current Account

* Improving ToT (prices rise): same exports buy more imports -> higher real income
* Worsening ToT: must export more to buy same imports
* Commodity-dependent economies vulnerable to ToT deterioration
* Prebisch-Singer hypothesis: ToT of primary commodities deteriorates over time vs manufactures

[HL] Monetary Union

* Countries share a single currency (e.g. Eurozone)
* Benefits: no exchange rate risk, transaction cost savings, price transparency
* Costs: loss of monetary policy independence, no exchange rate adjustment
* Optimum Currency Area (OCA): requires labour mobility + fiscal transfers
* Eurozone crisis (2010): peripheral nations could not devalue -> painful austerity

[HL] Inequality, Poverty & Policy Interactions

HL Concept	Key Content	Common Exam Application
Behavioural economics [HL]	Nudge theory, bounded rationality, status quo bias, loss aversion	Justify government intervention when rational choice fails
Kuznets curve [HL]	Inequality first rises then falls with development (inverted-U)	Evaluate whether growth alone reduces inequality
Tobin tax [HL]	Small tax on financial transactions to reduce speculation	Evaluate policies to control capital flows
Capital account liberalization [HL]	Removing restrictions on capital flows	Debate: growth benefits vs financial instability risk
Purchasing Power Parity (PPP) [HL]	Adjusts GDP for differences in price levels across countries	Compare living standards more accurately than nominal GDP
Transfer pricing [HL]	Multinationals shift profits to low-tax jurisdictions	Critique of FDI as development strategy; tax revenue loss

[HL] HL EXTENSION

[HL] Behavioural economics is increasingly tested in Paper 3. Key concepts: anchoring, heuristics, present bias, social norms. Use to justify "nudges" (e.g. opt-out pension schemes, calorie labeling) as alternatives to traditional intervention.

EXAM MASTERY

[!] Top 15 Common Mistakes in IB Economics

1	Diagrams	Drawing a diagram without labeling axes -- IB requires labeled P and Q (or your specific axes) for any marks.
2	Demand/Supply	Saying "demand increased" when you mean "quantity demanded increased". Demand = whole curve. Quantity demanded = movement on curve.
3	Demand/Supply	Confusing a shift vs movement. Price changes cause movements. Anything else causes a SHIFT.
4	Elasticity	Not including the % sign in elasticity formulas. PED = %dQd / %dP, not dQd / dP.
5	Elasticity	Saying PED is positive. PED is always NEGATIVE (inverse relationship). Use absolute value when comparing.
6	Market Failure	Calling any government action a solution to market failure. Government intervention can also FAIL (government failure). Always evaluate both sides.
7	AD/AS	Drawing AD/AS with SRAS horizontal -- this is only Keynesian model. Standard IB uses upward-sloping SRAS.
8	Macro Policy	Saying monetary policy = "printing money". Monetary policy = interest rate changes. Quantitative Easing is a separate, unconventional tool.
9	Fiscal Policy	Forgetting that expansionary fiscal policy may crowd out private investment. Always acknowledge this limitation.
10	Evaluation	Listing pros then cons without a JUDGEMENT. IB rewards synthesis: "On balance, the benefits outweigh the costs because..."
11	Development	Using GDP per capita as the only measure of development. Always use multiple indicators (HDI, Gini, poverty headcount).
12	Trade	Confusing absolute advantage and comparative advantage. You ALWAYS trade based on comparative advantage, even if you are absolutely better at everything.
13	Exchange Rates	Saying depreciation is always bad. Depreciation makes exports cheaper -> could improve CA and boost AD.
14	Paper 1	In Part (a) [10 marks]: students write too much evaluation. Part (a) tests knowledge + analysis. Save evaluation for Part (b).
15	Paper 2/3	Not referencing the stimulus material. IB requires you to apply theory to the specific context given. Generic answers lose marks.

[>] IB Economics Exam Strategy

Paper 1 (SL: 1h15min | HL: 1h45min)

* Part (a) -- 10 marks: Knowledge + Analysis
  * Approx. 400-500 words + labelled diagram(s)
  * Structure: Define -> Draw diagram -> Explain mechanism
  * Do NOT over-evaluate in Part (a)
* Part (b) -- 15 marks: Evaluation + Synthesis
  * Approx. 600-700 words
  * Structure: 2-3 developed evaluation points + conclusion
  * Use: "However..." "In the long run..." "It depends on..."

Paper 2 (SL: 1h45min | HL: 1h45min)

* 3 stimulus-based questions (answer all)
* Always reference the stimulus material in every answer
* Short-answer questions: 1-2 sentences max per mark
* Extended response: define, diagram, analyse, evaluate

Paper 3 (HL only: 1h45min)

* Quantitative analysis + HL concepts only
* Show ALL working for calculations
* Diagram required for most extended questions

IB Command Terms

Term	What It Requires
Define	Give the precise meaning of a term (usually 1-2 sentences)
Explain	Give reasons; link cause to effect clearly
Distinguish	Show clear differences between two concepts
Describe	State the characteristics/features
Draw	Produce a labeled diagram
Calculate	Show full working; include units
Evaluate	Present both sides + make a supported judgement
Discuss	Consider multiple perspectives; no strong conclusion required
To what extent	Evaluate; give a clear measured judgment at the end
Examine	Investigate thoroughly from multiple angles
Justify	Support a conclusion with evidence/reasoning
Suggest	Propose a possible answer; need not be definitive

[>] EXAM INSIGHT
Every extended-response answer needs a CONCLUSION. "In conclusion, on bala
judgment. Examiners give Level 5 (highest) only when evaluation is synthesized in

Time Management

Paper	Duration	Marks	Time per mark	Key tip
Paper 1 Part (a)	~35 min (SL)	10	~3.5 min	Diagram first, then explain
Paper 1 Part (b)	~40 min (SL)	15	~2.7 min	Aim for 3 evaluation points
Paper 2 (SL)	1h 45min	50	~2.1 min	Underline stimulus data to reference
Paper 3 (HL)	1h 45min	50	~2.1 min	All working shown; check units

[v] Final Revision Checklist -- Night Before Exam

MICROECONOMICS

- [ ] Can I draw a labeled D&S; diagram and identify equilibrium, surplus and shortage?
- [ ] Can I explain and calculate PED, YED, XED and state whether elastic or inelastic?
- [ ] Can I draw negative and positive externality diagrams with MSC/MSB and identify welfare loss?
- [ ] Can I compare all four market structures and draw PC and monopoly diagrams?
- [ ] Can I evaluate government intervention tools (tax, subsidy, price ceiling/floor, regulation)?

MACROECONOMICS

- [ ] Can I draw AD/AS with SRAS and LRAS and identify recessionary/inflationary gaps?
- [ ] Can I distinguish between demand-pull and cost-push inflation and suggest policies?
- [ ] Can I identify and explain the three types of unemployment and their policy solutions?
- [ ] Can I evaluate fiscal policy and monetary policy including their limitations?
- [ ] Can I explain the multiplier effect and calculate it from MPC or MPS?

INTERNATIONAL

- [ ] Can I explain comparative advantage using an opportunity cost example?
- [ ] Can I draw a tariff diagram showing effects on consumer surplus, producer surplus, government revenue and welfare loss?
- [ ] Can I draw an exchange rate diagram and explain the effects of appreciation/depreciation?
- [ ] Can I explain the components of the Balance of Payments and identify what causes a Current Account deficit?

DEVELOPMENT

- [ ] Can I compare GDP per capita, HDI, and Gini coefficient and explain their limitations?
- [ ] Can I draw a Lorenz curve and explain what the Gini coefficient measures?
- [ ] Can I evaluate at least 3 strategies for development (aid, FDI, microfinance, trade liberalization)?
- [ ] Can I explain the vicious cycle of poverty and suggest how to break it?

HL ONLY

- [ ] Can I explain price discrimination (all 3 degrees) with conditions and welfare effects?
- [ ] Can I draw a game theory payoff matrix and find Nash equilibrium / prisoner's dilemma?
- [ ] Can I explain the Laffer curve and evaluate supply-side tax cut arguments?
- [ ] Can I apply the Marshall-Lerner condition and explain the J-curve effect?
- [ ] Can I evaluate monetary union (Eurozone) using Optimum Currency Area theory?

EXAM TECHNIQUE

- [ ] Do I always label my diagram axes and title the diagram?
- [ ] Do I define key terms at the start of extended answers?
- [ ] Do I evaluate with "however", "in the long run", "it depends on", "for example"?
- [ ] Do I end every evaluation question with a clear, supported judgment?
- [ ] Do I reference stimulus material in every Paper 2 answer?

[TIP] EXAM TIP
You have done the work. Trust your preparation. Read every question twice, identify the command term, draw the diagram first, then write. Good luck! :)